

SiyaBusa ERP

TERM SHEET TEMPLATE

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

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Effective Date: January 2026

Department: Executive

Classification: Confidential

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SEED INVESTMENT TERM SHEET

Non-binding term sheet for the R2M seed round at R10M pre-money valuation, outlining investment terms, investor rights, and governance structure.

Summary of Terms

This Term Sheet summarizes the principal terms of a proposed seed investment in **Masaphokati Technologies (Pty) Ltd** (the "Company"). This Term Sheet is for discussion purposes only and is not legally binding except for the Confidentiality and Exclusivity provisions.

Company Information

Item	Detail
Company Name	Masaphokati Technologies (Pty) Ltd
Trading Name	SiyaBusa ERP
Registration	Republic of South Africa (CIPC)
Business	Enterprise Resource Planning Software (SaaS)
Stage	Pre-Revenue, Product Complete

Share Capital Structure

Item	Detail
Authorized Shares	1,000,000,000 Ordinary no par value shares
Currently Issued	100,000,000 shares (to Founders)
Available for Issue	900,000,000 shares

Investment Terms

Offering

Term	Detail
Securities Offered	Ordinary Shares
Amount to be Raised	R2,000,000 (Two Million Rand)
Pre-Money Valuation	R10,000,000
Post-Money Valuation	R12,000,000
Price Per Share	R0.10 (Ten Cents)
Shares to be Issued	20,000,000 new ordinary shares
Equity to Investors	16.67% of post-money equity

Investment Allocation

Allocation	Amount	Percentage
Minimum Total Raise	R1,500,000	75% of target
Target Raise	R2,000,000	100% of target
Maximum Raise	R2,500,000	125% of target

Minimum Investment

Investor Type	Minimum
Lead Investor	R500,000
Strategic Investor	R250,000
Other Investors	R100,000

Investor Rights

Board & Governance

Right	Detail
Board Composition	3 Directors: 2 Founders + 1 Independent
Board Observer	Investors holding 5%+ may appoint an observer
Board Meetings	Quarterly minimum
Resolutions	Major decisions require Board approval

Reserved Matters (Requiring Board Approval)

- Annual budget and any material deviation
- Capital expenditure exceeding R100,000
- Hiring of senior executives
- Any related-party transactions
- Changes to share capital
- Acquisitions or disposals exceeding R250,000
- Taking on debt exceeding R500,000
- Changes to the business plan
- Entering new markets or business lines

Information Rights

Right	Frequency	Detail
Monthly Reports	Monthly	Revenue, customers, cash position, KPIs
Financial Statements	Quarterly	Management accounts
Audited Financials	Annually	Once audits begin (FY2027)
Board Pack	Quarterly	Comprehensive business update
Investor Meetings	Quarterly	Review meeting with management

Protective Provisions

Investors holding 10%+ in aggregate shall have the right to approve:

1. Any amendment to the MOI affecting investor rights
 2. Any increase in authorized share capital
 3. Any new class of shares
 4. Any liquidation, dissolution, or wind-up
 5. Any merger, acquisition, or sale of substantially all assets
 6. Any transaction with related parties exceeding R100,000
 7. Any change in the nature of the business
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Pre-Emptive Rights (Pro-Rata Rights)

Investors shall have the right, but not the obligation, to participate in future financing rounds to maintain their percentage ownership, on the same terms as new investors.

Anti-Dilution Protection

Weighted Average Anti-Dilution: If the Company issues shares at a price below the price paid by Investors in this round (a "Down Round"), the Investors' conversion price shall be adjusted using the broad-based weighted average formula:

$$\text{New Price} = \text{Old Price} \times [(\text{Outstanding} + \text{New Money} / \text{Old Price}) / (\text{Outstanding} + \text{Shares Issued})]$$

Exception: This protection does not apply to:

- Employee stock option pool (up to 10%)
 - Shares issued in strategic partnerships approved by the Board
 - Shares issued in acquisition transactions
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Tag-Along Rights

If Founders propose to sell more than 25% of their shares to a third party, Investors shall have the right to participate in the sale on the same terms and conditions, pro-rata to their holdings.

Drag-Along Rights

If shareholders holding 75% of the shares (including Founders) approve a sale of the Company, they may require all other shareholders to sell their shares on the same terms.

Right of First Refusal (ROFR)

If any shareholder wishes to sell shares, they must first offer them to existing shareholders pro-rata at the same price and terms. Existing shareholders have 30 days to exercise this right.

Liquidation Preference

Term	Detail
Type	1x Non-Participating
Priority	Investors receive 1x their investment before any distribution to other shareholders
Participation	Non-participating (investors choose preference OR pro-rata share, not both)

Example:

- Investment: R2,000,000 for 16.67%
 - Exit at R10M: Investors receive R2M (preference) OR R1.67M (pro-rata) → Take R2M
 - Exit at R50M: Investors receive R2M (preference) OR R8.33M (pro-rata) → Take R8.33M
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Use of Funds

Committed Use of Proceeds

Category	Amount	Percentage	Purpose
Sales & Marketing	R800,000	40%	Customer acquisition, brand building
Team Expansion	R600,000	30%	Sales, customer success, support
Operations	R300,000	15%	AWS, tools, legal, office
Product Enhancement	R200,000	10%	Features, integrations, UX
Working Capital	R100,000	5%	Reserve
Total	R2,000,000	100%	

Milestones

The Company commits to achieving the following milestones:

Milestone	Target Date	Metric
First Paying Customer	Q2 2026	1 customer
Product-Market Fit	Q3 2026	10 customers, NPS > 40
Revenue Traction	Q4 2026	R100,000 MRR
Growth Mode	Q2 2027	40 customers, R400,000 MRR
Series A Ready	Q4 2027	80 customers, R800,000 MRR

Exit Strategy

Primary Exit: JSE AltX Listing

Milestone	Timeline	Description
Seed Round	Q1 2026	Current raise
Series A	Q1 2028	R15-25M at ~R80M pre-money
Pre-IPO Round	Q4 2028	R30-50M, build shareholder base to 100+
AltX Listing	Q2 2029	Public market liquidity

Alternative Exits

Exit Type	Description	Typical Timeline
Trade Sale	Acquisition by strategic buyer	3-5 years
Secondary Sale	Sale to new investor	2-4 years
Management Buyout	Purchase by management	4-7 years

Expected Returns

Scenario	Exit Valuation	Investor Ownership	Investor Return	Multiple
Base Case (AltX)	R400M	10.29%*	R41.2M	20.6x
Upside	R600M	10.29%	R61.7M	30.9x
Downside	R200M	10.29%	R20.6M	10.3x

*After dilution from Series A and Pre-IPO rounds

Closing Conditions

Conditions Precedent

The investment is subject to:

1. **Due Diligence:** Satisfactory completion of legal, technical, and commercial due diligence
 2. **Documentation:** Execution of definitive agreements including:
 - Subscription Agreement
 - Shareholders Agreement
 - Updated MOI (if required)
 3. **Board Approval:** Approval by Company's Board of Directors
 4. **Regulatory:** No adverse regulatory findings
 5. **Representations:** Accuracy of all representations and warranties
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Due Diligence Checklist

Category	Items
Corporate	CIPC registration, MOI, Board resolutions, shareholder register
Legal	IP ownership, material contracts, litigation history
Financial	Bank statements, projections, use of funds plan
Technical	Product demo, architecture review, code audit (if requested)
Commercial	Customer pipeline, market analysis, competitive positioning

Timeline

Activity	Target Date
Term Sheet Signed	Week 1
Due Diligence	Weeks 2-4
Legal Documentation	Weeks 3-5
Signing & First Close	Week 6
Final Close	Week 8

Confidentiality & Exclusivity

Confidentiality

Each party agrees to keep confidential all information received from the other party in connection with this potential investment. This obligation survives termination of discussions.

Exclusivity

Upon signing this Term Sheet, the Company agrees not to solicit, encourage, or enter into discussions with any other potential investors for a period of **45 days** ("Exclusivity Period").

Signatures

This Term Sheet is intended to be non-binding except for the Confidentiality and Exclusivity provisions above, which are binding upon signature.

FOR THE COMPANY:

Name:	_____
Title:	Director
Date:	_____
Signature:	_____

FOR THE INVESTOR(S):

Name:	_____
Title/Capacity:	_____
Investment Amount:	R _____
Date:	_____
Signature:	_____

Disclaimer

This Term Sheet is for discussion purposes only and does not constitute a binding commitment to invest. Any investment is subject to satisfactory due diligence and execution of definitive legal documentation.

Masaphokati Technologies (Pty) Ltd

January 2026